

■ Putting Leverage into Context

That trend-following futures trading need to be leveraged is hardly a shocking revelation, but you may perhaps wonder just how leveraged we have to be. Both mainstream and financial media like to use leverage terminology to make a point about how risky a fund or other investment is and you often hear outsized numbers about how leveraged traders are. The problem is that leverage and risk are two completely different concepts and they are not necessarily related. A higher leverage could mean higher risk but it by no means has to imply this. Of course, if you only hold one asset, such as stocks in IBM, then your risk is double if you have US\$100,000 exposure compared to having US\$50,000 exposure, but when dealing with derivatives and cross-asset instruments, the picture is not that simple.

To put leverage into proper context and perspective, let's take a look at a typical portfolio for our core strategy. If you have an account size of about US\$5 million and trade the core strategy with a risk factor of 0.15% as described above, your portfolio would hold 40 positions covering all sectors on 21 May 2009. This date is chosen rather arbitrarily, and for the point I am making here pretty much any randomly chosen date would be just fine. Let's start with the funny number and then I demonstrate why this seemingly ridiculous number is of little to no value to us: On this randomly chosen day, we had a total gross exposure of 1353%. If we at that time were trading a portfolio worth US\$10 million, that means that we would have investments worth over US\$135 million. How's that for leveraged?

Large numbers at times are hard to relate to, so imagine having a personal trading account at your local broker worth \$10,000. Now imagine using that account to enter positions worth \$135,000. Most people would see this as an absolutely insane risk, and in most cases, rightly so. But this is not most cases. You're probably wondering what the trick is. Perhaps you think it's that term I used in the last paragraph, about gross exposure. The gross exposure is the total of longs and shorts, adding it up instead of netting longs against shorts. So if we would be long 10% and short 10%, that's a net exposure of zero and a gross exposure of 20%. But no, in this case, that is the trick. While our gross exposure is 1353%, the net exposure is still a whopping 1233%. Yes, for those of you who just did that maths, that means that we have long positions of 1295% and short positions of just 62%. These ratios may change dramatically over time, but this is how it looked on this particular day.